

Introduction to Finance and Investments

Course: CIFA — Certified Investment and Financial Analysts

Level: Foundation Level

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Syllabus version: Based on the standard KASNEB CIFA Foundation Level Introduction to Finance and Investments syllabus topics — the financial system, financial instruments, investment fundamentals, and risk/return. Authored from general finance and investment knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. The role of the financial system

The **financial system** channels funds from those with surplus funds (savers/investors) to those needing funds (borrowers/businesses), enabling capital to be allocated to productive uses across the economy. It comprises financial institutions (banks, investment firms), financial markets (money markets, capital markets), and financial instruments (shares, bonds, deposits) that together facilitate this flow of funds.

2. Financial intermediaries

A **financial intermediary** stands between savers and borrowers, channelling funds between them (e.g. a bank taking deposits and making loans, or a fund manager pooling investor funds to invest in securities). Intermediaries provide valuable services: pooling small individual savings into amounts large enough to fund significant investments, spreading/diversifying risk across many investors, and providing expertise that individual savers may lack.

3. Money markets versus capital markets

Money markets trade short-term debt instruments (typically maturing within one year), such as treasury bills and commercial paper, used mainly for managing short-term liquidity. **Capital markets** trade longer-term instruments — equities and bonds — used to raise funds for longer-term investment. The Nairobi Securities Exchange operates as Kenya's principal capital market for trading listed equities and bonds.

4. Equity securities, basics

Equity (shares/stock) represents ownership in a company. Shareholders may benefit from **dividends** (a share of distributed profit) and **capital gains** (an increase in the share's market price), but bear the risk that both may be lower than expected, or that the share's value may fall — equity is generally considered higher risk than debt, since equity holders are paid only after all debt obligations have been met (residual claim), and dividends are not guaranteed.

5. Debt securities, basics

Debt securities (bonds) represent a loan from the investor (bondholder) to the issuer, obligating the issuer to pay periodic interest (**coupon** payments) and repay the principal (**face value**) at a specified maturity date. Bondholders generally have a priority claim over shareholders if the issuer becomes insolvent, and coupon payments are contractually fixed,

making bonds generally lower risk than equity — though bond prices still fluctuate with changes in interest rates and the issuer's creditworthiness.

6. Collective investment schemes

A **collective investment scheme** (e.g. a unit trust or mutual fund) pools money from many investors to invest in a diversified portfolio of securities, managed by professional fund managers. This gives individual investors — even those with modest amounts to invest — access to diversification and professional management that would be difficult or costly to achieve investing directly on their own.

7. The risk-return relationship

A foundational principle of investing: higher expected returns generally require accepting higher risk — investors demand compensation (a **risk premium**) for bearing additional uncertainty. **Expected return** for an investment can be computed as the probability-weighted average of possible outcomes:

Expected return = $\Sigma (\text{Probability of outcome} \times \text{Return in that outcome})$

8. Types of investment risk

- **Market risk** — the risk that overall market movements affect an investment's value, affecting nearly all securities to some degree.
 - **Credit (default) risk** — the risk that a bond issuer fails to make promised interest or principal payments.
 - **Liquidity risk** — the risk that an investment cannot be sold quickly at a fair price when needed.
 - **Inflation risk** — the risk that inflation erodes the real (purchasing-power) return on an investment.
 - **Interest rate risk** — particularly relevant to bonds, the risk that changing interest rates affect a bond's market price (bond prices generally fall as interest rates rise, and vice versa).
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9. Full worked question — computing expected return and comparing risk

Scenario. An investment has three possible outcomes: a 30% probability of a 20% return, a 50% probability of a 10% return, and a 20% probability of a -5% return.

Required: Compute the expected return of this investment.

Solution:

$$\begin{aligned}\text{Expected return} &= (0.30 \times 20\%) + (0.50 \times 10\%) + (0.20 \times -5\%) \\ &= 6\% + 5\% + (-1\%) \\ &= \mathbf{10\%}\end{aligned}$$

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CIFA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CIFA FOUNDATION LEVEL — INTRODUCTION TO FINANCE AND INVESTMENTS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Explain the role of the financial system in an economy. (8 marks)
 - (b) Explain the role of a financial intermediary, with one example. (6 marks)
 - (c) Distinguish between money markets and capital markets. (6 marks)
- (Total: 20 marks)
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QUESTION TWO

- (a) Distinguish between equity and debt securities in terms of the claims and risk each holder bears. (14 marks)
- (b) Explain why bondholders generally have a priority claim over shareholders on an issuer's insolvency. (6 marks)

(Total: 20 marks)

QUESTION THREE

(a) Explain what a collective investment scheme is, and TWO benefits it offers individual investors. *(12 marks)*

(b) Explain the risk-return relationship in investing. *(8 marks)*

(Total: 20 marks)

QUESTION FOUR

An investment has two possible outcomes: a 60% probability of a 15% return, and a 40% probability of a -8% return.

(a) Compute the expected return of this investment. *(8 marks)*

(b) Explain what "risk premium" means in this context. *(6 marks)*

(c) Outline THREE types of investment risk. *(6 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Distinguish between market risk and credit risk. *(8 marks)*

(b) Explain interest rate risk and its typical relationship with bond prices. *(8 marks)*

(c) Define liquidity risk. *(4 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(8 marks)* — The financial system channels funds from savers/investors with surplus funds to borrowers/businesses needing funds, allocating capital to productive uses across the economy.

(b) *(6 marks)* — A financial intermediary stands between savers and borrowers, channelling funds between them, e.g. a bank taking deposits and making loans.

(c) *(6 marks)* — Money markets trade short-term debt instruments (under one year), e.g. treasury bills; capital markets trade longer-term instruments (equities and bonds) for longer-

term investment.

QUESTION TWO

(a) (14 marks) — Equity: ownership claim, residual claim (paid after debt), returns via dividends/capital gains, higher risk. Debt: creditor claim, fixed periodic coupon and principal repayment, priority claim, generally lower risk.

(b) (6 marks) — Bondholders are creditors with a contractual right to repayment, ranking ahead of shareholders (who only have a residual claim on whatever remains after all obligations, including debt, are settled).

QUESTION THREE

(a) (12 marks) — A collective investment scheme pools money from many investors into a diversified portfolio managed by professional fund managers; benefits: access to diversification and professional management that would otherwise be difficult/costly to achieve investing directly (any two, 3 marks each, plus 6 for the definition).

(b) (8 marks) — Higher expected returns generally require accepting higher risk; investors demand a risk premium (extra expected return) to compensate for bearing additional uncertainty.

QUESTION FOUR

(a) (8 marks) — Expected return = $(0.60 \times 15\%) + (0.40 \times -8\%) = 9\% + (-3.2\%) = \mathbf{5.8\%}$.

(b) (6 marks) — A risk premium is the additional expected return investors require to compensate for bearing additional risk, above what a genuinely risk-free investment would offer.

(c) (6 marks — 2 marks each) — Market risk, credit/default risk, liquidity risk (inflation risk or interest rate risk also acceptable).

QUESTION FIVE

(a) (8 marks) — Market risk is the risk that overall market movements affect an investment's value, affecting nearly all securities; credit risk is the risk that a bond issuer fails to make promised interest/principal payments, specific to that issuer.

(b) (8 marks) — Interest rate risk is the risk that changing interest rates affect a bond's market price; bond prices generally fall as interest rates rise, and rise as interest rates fall (an inverse relationship).

(c) (4 marks) — Liquidity risk is the risk that an investment cannot be sold quickly at a fair price when needed.

12. Exam technique and revision checklist

- Equity vs debt questions: always contrast claim priority, payment certainty, and risk level together — a very commonly and specifically tested comparison.
- Expected return questions: always show the probability-weighted calculation explicitly, term by term, before summing.
- Risk-type questions: name each risk type precisely (market, credit, liquidity, inflation, interest rate) rather than a vague "things that could go wrong."
- Interest rate risk: remember the inverse relationship between interest rates and bond prices — a frequently and specifically tested point.
- Always tie a definition back to a concrete example or practical implication where a question allows it — bare definitions alone often only earn partial marks.

Quick revision — one line per topic:

1. Financial system: channels funds from savers to borrowers, allocating capital productively.
2. Money markets: short-term debt (under 1 year). Capital markets: longer-term equities/bonds.
3. Equity: ownership, residual claim, dividends/capital gains, higher risk. Debt: creditor claim, fixed coupon/principal, priority claim, lower risk.
4. Collective investment schemes: pooled funds, professional management, diversification for small investors.
5. Risk-return relationship: higher expected return requires accepting higher risk (risk premium).
6. Expected return = $\Sigma (\text{probability} \times \text{outcome return})$.
7. Risk types: market, credit/default, liquidity, inflation, interest rate.
8. Interest rate risk: bond prices fall as interest rates rise (inverse relationship).

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.